

Value Migration

GLOSSARY 01 - SHEET 8 / 8

The flow of economic value away from obsolete business designs toward designs that better serve priorities

PROFESSIONAL DEFINITION

Value migration is the movement of economic value away from business designs that no longer meet customer priorities and toward designs that do, observable as a sustained shift in market value relative to revenue across the competitors in an industry. The unit of analysis is the business design rather than the firm or the product, and migration can occur while the losing firm's revenue is still growing (Slywotzky, 1996).

WHO DEFINED IT ORIGINALLY

Adrian J. Slywotzky developed the concept at Mercer Management Consulting and published it as Value Migration (1996), following a study of value shifts across some thirty industries. The framing extends Drucker's (1994) theory of the business and connects to Christensen's contemporaneous work on incumbent displacement.

WHY THIS DEFINITION WAS DEVELOPED

Executives were monitoring revenue and market share and were surprised by collapses in market value that those measures had not signalled. Slywotzky argued that value moves before revenue does, so a construct anchored on business design and market-value-to-revenue ratios could give early warning that share-based metrics could not.

FIGURE 1 - THREE STATES OF A BUSINESS DESIGN



Figure 1. Every business design occupies one of three states. The diagnostic difficulty is that outflow begins while revenue is still growing, which is why share-based reporting detects it only after the reconfiguration options have narrowed (after Slywotzky, 1996).

HOW IT IS USED

Compute market value to revenue for each competitor over time, identify which designs are absorbing value and which are shedding it, and locate the firm's own design on that map before the shift reaches its revenue line.

WHEN IT IS USED

In annual strategic review, when an industry's profit pool is visibly reallocating, when a competitor's valuation diverges from its revenue trajectory, and when assessing whether an AI capability changes which design captures the margin.

BY WHOM IT IS USED

Corporate strategy and investor relations, chief financial officers explaining valuation divergence, and boards judging whether to defend or to reconfigure the current design.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor measures were market share and revenue growth, which are lagging and describe position within an existing design rather than the viability of the design itself. Value migration substitutes a leading indicator built on relative market value, and shifts the question from how much of this market do we hold to whether this market is still where the value is. Slywotzky's later work on profit patterns extended it into the profit-pool analysis used in Unit 3.

RELATED DEFINITIONS IN THIS COURSE

[Business Model Innovation - Unit 1](#)
[Disruptive Innovation - Unit 1](#)
[Profit Pool - Unit 3](#)
[Competitive Advantage - Unit 3](#)
[AI Strategy - Unit 3](#)

SOURCES (HARVARD REFERENCING STYLE)

- Drucker, P.F. (1994) 'The theory of the business', Harvard Business Review, 72(5), pp. 95-104.
- Slywotzky, A.J. (1996) Value Migration: How to Think Several Moves Ahead of the Competition. Boston, MA: Harvard Business School Press.
- Slywotzky, A.J. and Morrison, D.J. (1997) The Profit Zone: How Strategic Business Design Will Lead You to Tomorrow's Profits. New York: Times Business.